

based or someone who will manage your money for 1 percent (or even less) a year. And skip annuities. They're also loaded with hidden fees. What's crucial is diversification. You never want to invest your final nest egg into any one stock or sector. I repeat: My golden rules of investing are that you put no more than 5 percent in any one stock or bond (always dividend-paying securities) and no more than 20 percent in any one sector. I see this all the time: a fifty-seven-year-old who sells the house and dumps 85 percent of those returns into the stock of a company on the edge of failure. It's a tragedy. The older you get, the more security you need. Remember my rule of thumb about age-based investing: Keep the percentage of bonds you own matching your age. That will stabilize your portfolio and give you a better sense of exactly how much money you have to live on for the rest of your life. Predictability is your friend.

People are not only living longer than their ancestors, they're living healthier lives, too. And yet our workforce is still operating under the old model where people stopped working at sixty-five and lived only another five or ten years. People are living well into their eighties now. And they can easily continue to be vital members of the workforce at least into their seventies. So don't hit the panic button at sixty if you don't have enough saved. You simply have to keep working.

Money Mistake: You Want to Leave Something to Your Kids

THE FIX: DON'T DIVEST UNTIL YOUR LONG-TERM CARE IS COVERED

Nothing creates mushier thinking around money than telling your kids there's a big inheritance waiting for them when you die. Knowing they'll inherit your nest egg encourages dependence and discourages them from building their own. That puts them at a huge competitive disadvantage. It's folly to give them the impression that they don't have to plan for their own retirement because your money is going to come to their rescue. My advice? No inheritances, not a dime, until: